
Theme 1: Marketing and people

Overview

In this theme, students are introduced to the market, explore the marketing and people functions and investigate entrepreneurs and business start up.

Students will need to build upon the knowledge, skills and understanding developed in Theme 1 in Theme 4, making connections across these two themes in Paper 1, and across Themes 1, 2, 3 and 4 in Paper 3. Teaching approaches to content must reflect this.

Students will need to apply their knowledge and understanding to both familiar and unfamiliar contexts in the assessments and demonstrate an awareness of current business issues.

Content

This theme enables students to understand how businesses identify opportunities and to explore how businesses focus on developing a competitive advantage through interacting with customers. Students develop an understanding of how businesses need to adapt their marketing to operate in a dynamic business environment.

This theme also considers people, exploring how businesses recruit, train, organise and motivate employees, as well as the role of enterprising individuals and leaders.

Students must investigate different types and sizes of organisation in various business sectors and environments, and in local, national and global contexts.

To develop their knowledge, skills and understanding in business, students need to have acquired competence in quantitative skills that are relevant to and applied in the context of this theme

(see Appendix 3: Quantitative skills).

1.1 Meeting customer needs

Subject content	What students need to learn:
1.1.1 The market	a) Mass markets and niche markets: - o characteristics - o market size and market share - o brands b) Dynamic markets: - o online retailing - o how markets change - o innovation and market growth - o adapting to change c) How competition affects the market d) The difference between risk and uncertainty
1.1.2 Market research	a) Product and market orientation b) Primary and secondary market research data (quantitative and qualitative) used to: - o identify and anticipate customer needs and wants - o quantify likely demand - o gain insight into consumer behaviour c) Limitations of market research, sample size and bias d) Use of ICT to support market research: - o websites - o social networking - o databases e) Market segmentation
1.1.3 Market positioning	a) Market mapping b) Competitive advantage of a product or service c) The purpose of product differentiation d) Adding value to products/services